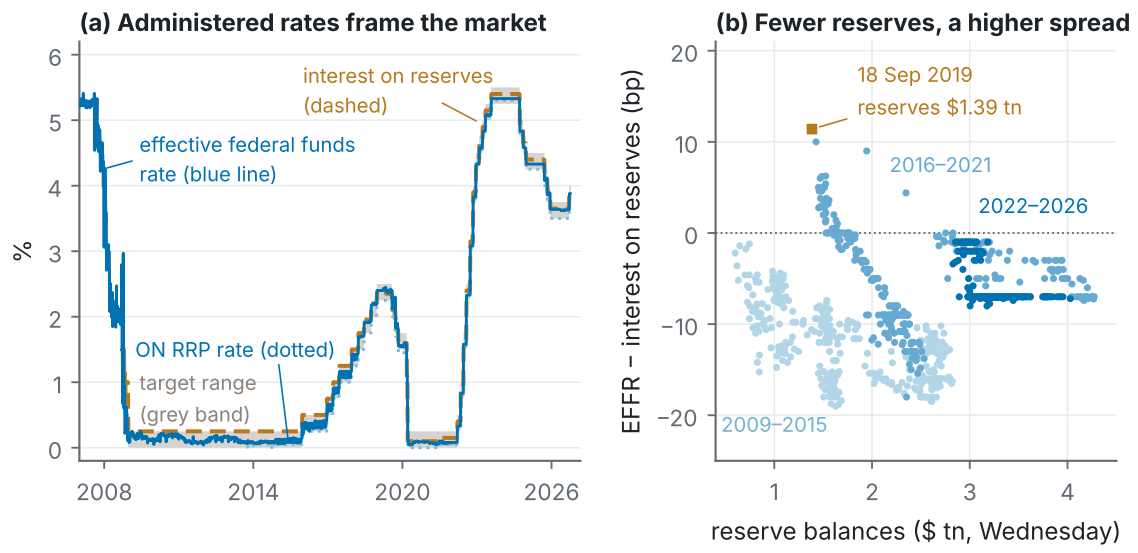

(a) Administered rates frame the market
interest on reserves
(dashed)
effective federal funds
rate (blue line)
ON RRP rate (dotted)
target range
(grey band)
%
6
5
4
3
2
1
0
2008
2014
2020
2026
(b) Fewer reserves, a higher spread
18 Sep 2019
reserves $1.39 tn
2016–2021
2022–2026
2009–2015
EFFR − interest on reserves (bp)
20
10
0
−10
−20
1
2
3
4
reserve balances ($ tn, Wednesday)